



AMÃNA BANK PLC (PB 3618 PQ)

FINANCIAL STATEMENTS

31 DECEMBER 2019

AMANA BANK PLC (PB 3618 PQ)
STATEMENT OF PROFIT OR LOSS
FOR THE YEAR ENDED 31 DECEMBER 2019

	RUPEES IN THOUSANDS FOR THE YEAR ENDED 31 DECEMBER			RUPEES IN THOUSANDS FOR THE QUARTER ENDED 31 DECEMBER		
	2019 AUDITED	2018 AUDITED	Change %	2019 AUDITED	2018 AUDITED	Change %
Financing Income	7,709,286	6,883,222	12	1,970,996	1,936,672	2
Financing Expenses	(4,544,371)	(3,522,889)	29	(1,232,221)	(979,369)	26
Net Financing Income	3,164,916	3,360,333	(6)	738,775	957,303	(23)
Net Fee and Commission Income	329,041	297,049	11	104,175	78,002	34
Net Trading Income	738,397	461,156	60	171,489	190,004	(10)
Net Gains / (Losses) from Financial Assets at Fair Value Through Profit or Loss	4,863	(22,436)	122	(1,823)	(22,436)	(92)
Net Gains / (Losses) from Derecognition of Financial Assets	11,151	1,892	489	11,668	1,892	517
Net Other Operating Income	8,251	6,662	24	1,057	506	109
Total Operating Income	4,256,618	4,104,656	4	1,025,341	1,205,271	(15)
Impairment Reveal / (Charge) for Financing and Receivables to Other Customers and Other Losses						
Impairment on Financial Assets	(288,929)	(476,766)	(39)	4,130	(193,662)	102
Net Operating Income	3,967,690	3,627,890	9	1,029,470	1,011,609	2
Personnel Expenses	1,381,446	1,246,223	11	353,931	334,126	6
Depreciation of Property, Plant and Equipment	307,221	174,625	76	177,781	32,637	445
Other Operating Expenses	902,349	884,804	2	108,365	252,688	(57)
Total Operating Expenses	2,591,016	2,305,652	12	640,077	619,451	3
Operating Profit Before Value Added Tax, Nation Building Tax & Debt Repayment Levy	1,376,674	1,322,237	4	389,393	384,951	1
Value Added Tax on Financial Services, Nation Building Tax & Debt Repayment Levy	(531,826)	(420,038)	27	(143,188)	(79,913)	79
Profit Before Tax	844,848	902,199	(6)	246,205	305,038	(19)
Tax (Expenses)/Reversal	(383,917)	(345,753)	11	(216,297)	(178,548)	21
Profit for the Period	460,931	556,446	(17)	29,908	126,490	(76)
Earnings Per Share - Basic / Diluted	0.18	0.22	(17)	0.01	0.05	(76)

AMANA BANK PLC (PB 3618 PQ)
STATEMENT OF COMPREHENSIVE INCOME
FOR THE YEAR ENDED 31 DECEMBER 2019

	RUPEES IN THOUSANDS			RUPEES IN THOUSANDS		
	FOR THE YEAR ENDED 31 DECEMBER			FOR THE QUARTER ENDED 31 DECEMBER		
	2019	2018	Change	2019	2018	Change
	AUDITED	AUDITED	%	AUDITED	AUDITED	%
Profit/(Loss) for the Period	460,931	556,446	(17)	29,908	126,490	(76)
Other Comprehensive Income not to be Reclassified to Profit or Loss in Subsequent Periods:						
Financial Assets - Fair Value through Other Comprehensive Income:						
Net Loss on Financial Assets - Fair Value through Other Comprehensive Income	(40,514)	(32,411)	25	5,402	-	100
	(40,514)	(32,411)	25	5,402	-	
Re-measurement Gain / (Loss) on Defined Benefit Plans	11,527	15,317	(25)	11,527	15,317	(25)
Deferred Tax Effect on Defined Benefit Plans	(3,228)	(4,289)	(25)	(3,228)	(4,289)	(25)
	8,300	11,028	(25)	8,300	11,028	(25)
Net Comprehensive Income not to be Reclassified to Profit or Loss in Subsequent Periods:	(32,214)	(21,383)	51	13,702	11,028	24
Total Comprehensive Income for the Year	428,717	535,063	(20)	43,610	137,518	(68)

AMANA BANK PLC (PB 3618 PQ)
STATEMENT OF FINANCIAL POSITION
AS AT 31 DECEMBER 2019

	RUPEES IN THOUSANDS		Change %
	AS AT 31.12.2019 AUDITED	AS AT 31.12.2018 AUDITED	
Assets			
Cash and Cash Equivalents	10,067,003	5,338,091	89
Balances with Central Bank of Sri Lanka	3,448,797	3,543,445	(3)
Placements with Banks	10,625,183	9,264,699	15
Placements with Licensed Finance Companies	12,053	2,427,970	(100)
Derivative Financial Assets	226,092	445,733	(49)
Financial Assets Designated at Fair Value through Profit or Loss	72,789	113,249	(36)
Financial Assets at Amortised Cost - Financing and Receivables to Other Customers	57,716,961	52,853,663	9
Financial Assets Measured at Fair Value through Other Comprehensive Income	146,142	186,655	(22)
Other Financial Assets	888,381	585,705	52
Property, Plant, Equipment And Right-Of-Use Assets	2,505,901	1,890,194	33
Intangible Assets	237,075	238,311	(1)
Other Non Financial Assets	633,193	382,052	66
Total Assets	86,579,570	77,269,767	12
Liabilities			
Due to Banks	1,103,041	1,210,205	(9)
Derivative Financial Liabilities	56,479	1,441,006	(96)
Financial Liabilities at Amortised Cost - Due to Depositors	71,614,753	61,722,683	16
Other Financial Liabilities	1,110,538	480,627	131
Current tax liabilities	402,512	330,607	22
Dividend Payable	6,891	3,562	93
Deferred Tax Liability	194,315	221,537	(12)
Retirement Benefit Liability	144,988	127,517	14
Other Non Financial Liabilities	92,486	97,920	(6)
Total Liabilities	74,726,003	65,635,664	14
Shareholders' Funds			
Stated Capital	10,619,450	10,619,450	0
Statutory Reserve Fund	93,273	70,226	33
Revaluation Reserves	818,544	819,632	(0)
Other Reserves	(100,970)	(60,455)	(67)
Retained Earnings	423,270	185,250	(128)
Total Equity	11,853,567	11,634,103	2
Total Liabilities and Shareholders' Funds	86,579,570	77,269,767	12
Net Asset Value per Ordinary Share	4.74	4.65	
Commitments and Contingencies	54,012,977	46,485,431	
Memorandum Information			
Number of Employees	901	911	
Number of Branches	31	29	

CERTIFICATION:

I certify that these Financial Statements comply with the requirements of the Companies Act No.07 of 2007.

Sgd
M. Ali Wahid
Chief Financial Officer
15 February 2020

We, the undersigned, being the Chief Executive Officer, Chairman and Director of Amana Bank certify jointly that:-

(a) the above statements have been prepared in compliance with the format and definitions prescribed by the Central Bank of Sri Lanka and Rule 7.4 of Colombo Stock Exchange.

(b) the information contained in these statements have been extracted from the audited Financial Statements of the Bank.

Sgd
Mohamed Azmeer
Chief Executive Officer
15 February 2020

Sgd
Osman Kassim
Chairman
15 February 2020

Sgd
Jazri Magdon Ismail
Director
15 February 2020

STATEMENT OF CHANGES IN EQUITY
FOR THE YEAR ENDED 31 DECEMBER 2019

	Stated Capital	Statutory Reserve Fund	Revaluation Reserve	Fair Value Reserve	AUDITED	
					RUPEES IN THOUSANDS	
					Retained Earnings	Total
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
As at 1 January 2018	10,619,450	42,404	820,718	(28,031)	(140,737)	11,313,804
Impact of Adopting SLFRS 9	-	-	-	(13)	(39,654)	(39,667)
Restated Opening Balance under SLFRS 9	10,619,450	42,404	820,718	(28,044)	(180,391)	11,274,137
Profit for the Year	-	-	-	-	556,447	556,447
Other Comprehensive Income	-	-	-	(32,411)	11,028	(21,383)
Interim Dividend 2018	-	-	-	-	(175,097)	(175,097)
Transfers to Statutory Reserve Fund	-	27,822	-	-	(27,822)	-
Transferred to Retained Earnings	-	-	(1,086)	-	1,086	-
As at 1 January 2019	10,619,450	70,226	819,631	(60,456)	185,250	11,634,102
Impact of Adopting SLFRS 16					(9,138)	(9,138)
Restated Opening Balance under SLFRS 16	10,619,450	70,226	819,631	(60,456)	176,111	11,624,964
Profit for the Year					460,931	460,931
Other Comprehensive Income				(40,514)	8,300	(32,214)
Interim Dividend 2019					(200,111)	(200,111)
Transfers to Statutory Reserve Fund		23,047			(23,047)	-
Transferred to Retained Earnings			(1,086)		1,086	-
As at 31 December 2019	10,619,450	93,273	818,544	(100,970)	423,270	11,853,568

STATEMENT OF CASHFLOW
FOR THE YEAR ENDED 31 DECEMBER 2019

	RUPEES IN THOUSANDS	
	2019 AUDITED	2018 AUDITED
Cash Flow from Operating Activities		
Financing Income Received	7,160,434	6,416,841
Fees and Commission Received	329,041	339,789
Financing Expenses Paid	(4,499,462)	(3,429,655)
Foreign Exchange Income Received	737,306	418,176
Gratuity Payments Made	(14,710)	(9,949)
Payments to Employees and Suppliers	(2,732,597)	(2,470,080)
Operating Profit/(Loss) before Changes in Operating Assets and Liabilities	980,011	1,265,122
(Increase) / Decrease in Operating Assets		
Financing and Receivable to Other Customers	(4,813,177)	(10,037,289)
Other Financial Assets	(204,658)	(496,774)
Other Non Financial Assets	(251,142)	(171,564)
Balance with Central Bank of Sri Lanka	94,647	584,367
Increase / (Decrease) in Operating Liabilities		
Due to Other Customers	9,804,054	10,709,292
Due to Banks	(107,800)	1,207,800
Other Liabilities	(1,316,928)	1,236,089
Net Cash Flow from Operating Activities before Income Tax	4,185,008	4,297,043
Income Tax Paid	(345,689)	(63,108)
Net Cash Flows From / (Used In) Operating Activities	3,839,319	4,233,935
Cash Flows From/(Used In) Investing Activities		
Acquisition of Property, Plant & Equipment	(156,048)	(247,972)
Proceeds from Sale of Property, Plant and Equipment	965	9
Acquisition of Intangible Assets	(49,789)	(47,749)
Investments in Placements with Banks	(1,177,298)	(3,991,415)
Investments in Placements with Licensed Finance Companies	2,403,218	(314,535)
Financial Assets Recognised through Profit or Loss - Measured at Fair Value	57,565	12,290
Dividend Received from Financial Assets	7,431	6,655
Net Cash Flows From / (Used In) Investing Activities	1,086,044	(4,582,717)
Cash Flows From / (Used In) Financing Activities		
Dividend Paid	(196,782)	(171,535)
Net Cash Flows From / (Used In) Financing Activities	(196,782)	(171,535)
Net Increase / (Decrease) in Cash and Cash Equivalents	4,728,581	(520,317)
Cash and Cash Equivalents at the Beginning of the Year	5,339,450	5,859,767
Cash and Cash Equivalents at the End of the Year - Gross of Allowance for Impairment Losses	10,068,031	5,339,450

CASH AND CASH EQUIVALENTS**For the year ended 31 December**

Cash in Hand
Balances with Banks

Less: Allowance for Impairment Losses

Total

2019	2018
2,378,960	2,008,360
7,689,071	3,331,090
10,068,031	5,339,450
(1,028)	(1,359)
10,067,003	5,338,091

01. ANALYSIS OF FINANCIAL INSTRUMENTS BY MEASUREMENT BASIS

Financial instruments are measured on an ongoing basis either at fair value or at amortised cost. The summary of significant accounting policies describes how the classes of financial instruments are measured, and how income and expenses, including fair value gains and losses, are recognised. The following table analyses the carrying amounts of the financial instruments by category as defined in SLFRS 9 and by headings of the Statement of Financial Position.

FINANCIAL ASSETS	FAIR VALUE THROUGH PROFIT OR LOSS	AMORTIZED COST	RUPEES IN THOUSANDS	
			FAIR VALUE THROUGH OTHER COMPREHENSIVE INCOME	TOTAL
			AS AT 31.12.2019	
Cash and Cash Equivalents	-	10,067,003	-	10,067,003
Balance with Central Bank of Sri Lanka	-	3,448,797	-	3,448,797
Placements with Banks	-	10,625,183	-	10,625,183
Placements with Licensed Finance Companies	-	12,053	-	12,053
Derivative Financial Assets	226,092	-	-	226,092
Financial Assets recognised through Profit or Loss - Measured at Fair Value	72,789	-	-	72,789
Financial Assets at Amortised Cost - Financing and Receivables to Other Customers	-	57,716,961	-	57,716,961
Financial Assets measured at Fair Value through Other Comprehensive Income	-	-	146,142	146,142
Other Assets - Financial	-	888,381	-	888,381
Total Financial Assets	298,881	82,758,379	146,142	83,203,401
Financial Liabilities				
Due to Banks	-	1,103,041	-	1,103,041
Derivative Financial Liabilities	56,479	-	-	56,479
Financial Liabilities at Amortised Cost - Due to Depositors	-	71,614,753	-	71,614,753
Other Liabilities - Financial	-	1,110,538	-	1,110,538
Total Financial Liabilities	56,479	73,828,332	-	73,884,811

FINANCIAL ASSETS	FAIR VALUE THROUGH PROFIT OR LOSS	AMORTIZED COST	RUPEES IN THOUSANDS	
			FAIR VALUE THROUGH OTHER COMPREHENSIVE INCOME	TOTAL
			AS AT 31.12.2018	
Cash and Cash Equivalents	-	5,338,091	-	5,338,091
Balance with Central Bank of Sri Lanka	-	3,543,445	-	3,543,445
Placements with Banks	-	9,264,699	-	9,264,699
Placements with Licensed Finance Companies	-	2,427,970	-	2,427,970
Derivative Financial Assets	445,733	-	-	445,733
Financial Assets recognised through Profit or Loss - Measured at Fair Value	113,249	-	-	113,249
Financial Assets at Amortised Cost - Financing and Receivables to Other Customers	-	52,853,663	-	52,853,663
Financial Assets measured at Fair Value through Other Comprehensive Income	-	-	186,655	186,655
Other Assets - Financial	-	585,705	-	585,705
Total Financial Assets	558,982	74,013,573	186,655	74,759,210
Financial Liabilities				
Due to Banks	-	1,210,205	-	1,210,205
Derivative Financial Liabilities	1,441,006	-	-	1,441,006
Financial Liabilities at Amortised Cost - Due to Depositors	-	61,722,683	-	61,722,683
Other Liabilities - Financial	-	480,627	-	480,627
Total Financial Liabilities	1,441,006	63,413,515	-	64,854,521

02. FINANCING AND RECEIVABLES TO OTHER CUSTOMERS

ANALYSIS OF FINANCING AND RECEIVABLES TO OTHER CUSTOMERS

	RUPEES IN THOUSANDS	
	31.12.2019	31.12.2018
Gross Financing and Receivables to Other Customers		
Stage 1	48,685,703	44,353,581
Stage 2	8,059,899	7,844,184
Stage 3	2,267,684	1,708,501
	<u>59,013,286</u>	<u>53,906,267</u>
Less: Accumulated Impairment		
Stage 1	(259,252)	(254,293)
Stage 2	(441,748)	(299,784)
Stage 3	(595,324)	(498,527)
Net Financing and Receivables	<u>57,716,961</u>	<u>52,853,663</u>

NOTES TO THE FINANCIAL STATEMENTS

ANALYSIS OF FINANCING AND RECEIVABLES TO OTHER CUSTOMERS - (Contd...)

03. FINANCING AND RECEIVABLES TO OTHER CUSTOMERS - BY PRODUCT

	RUPEES IN THOUSANDS	
	31.12.2019	31.12.2018
By Product - Domestic Currency		
Overdraft	5,473,786	4,782,505
Trade Finance	1,648,215	2,765,920
Lease Receivables	6,517,989	6,430,002
Staff Facilities	627,746	571,829
Term Financing	34,515,166	31,394,943
Gold Facilities	4,023,756	2,402,268
Others	597,182	630,670
Sub Total	53,403,840	48,978,137
By Product - Foreign Currency		
Overdraft	16,337	72,129
Term Financing	5,214,133	4,627,052
Trade Finance	9,396	77,516
Others	369,581	151,433
Sub Total	5,609,446	4,928,130
Total	59,013,286	53,906,267

04. MOVEMENTS IN INDIVIDUAL AND COLLECTIVE IMPAIRMENT DURING THE PERIOD FOR FINANCING AND RECEIVABLES TO OTHER CUSTOMERS

A reconciliation of the allowance for impairment losses for Financing and Receivables to Other Customers, under SLFRS 9 is as follows:

	RUPEES IN THOUSANDS			
	STAGE 1	STAGE 2	STAGE 3	TOTAL IMPAIRMENT
ECL allowance as at 1 January 2019 under SLFRS 9	254,293	299,784	498,527	1,052,603
Charge/(Write Back) for the year	4,959	141,965	140,510	287,434
Amounts written off	-	-	(43,713)	(43,713)
As at 31 December 2019	259,252	441,748	595,324	1,296,325

	RUPEES IN THOUSANDS			
	STAGE 1	STAGE 2	STAGE 3	TOTAL IMPAIRMENT
ECL allowance as at 1 January 2018 under SLFRS 9	187,558	109,088	282,906	579,552
Charge/(Write Back) for the year	66,735	190,696	215,621	473,051
Amounts written off	-	-	-	-
As at 31 December 2018	254,293	299,784	498,527	1,052,603

05. DUE TO OTHER CUSTOMERS - BY PRODUCT

	RUPEES IN THOUSANDS	
	31.12.2019	31.12.2018
ANALYSIS OF DEPOSITS		
By Product - Domestic Currency		
Demand Deposits	3,646,295	3,072,131
Savings Deposits	22,599,993	19,936,735
Time Deposits	37,437,957	30,473,616
Other Deposits		180,471
Sub Total	63,684,246	53,662,952
By Product - Foreign Currency		
Demand Deposits	134,617	316,179
Savings Deposits	1,700,947	1,202,552
Time Deposits	6,094,945	3,369,909
Sub Total	7,930,508	4,888,640
Total	71,614,754	58,551,592

06. SELECTED PERFORMANCE INDICATORS

	AS AT 31.12.2019	AS AT 31.12.2018
Regulatory Capital (LKR '000)		
Common Equity Tier 1	11,054,858	10,844,221
Tier 1 Capital	10,782,015	10,527,283
Total Capital	11,833,327	11,347,154
Regulatory Capital Ratios (%)		
Common Equity Tier 1 Capital Ratio (Minimum Requirement 2019 - 7% ; 2018 - 6.375%)	15.4%	17.6%
Tier I Capital Ratio (Minimum Requirement 2019 - 8.5% ; 2018 - 7.875%)	15.4%	17.6%
Total Capital Ratio (Minimum Requirement 2019 - 12.5% ; 2018 - 11.875%)	16.9%	19.0%
Leverage Ratio % (Minimum Requirement - 3%)	9.66%	N/A
Assets Quality (Quality of Financing and Advance Portfolio)		
Gross Non-Performing Financing and Advances Ratio, % (Net of Profit in Suspense)	3.74%	2.82%
Net Non-Performing Financing and Advances Ratio, % (Net of Profit in Suspense and Provisions)	1.54%	0.87%
Profitability		
Financing Margin (%)	3.9%	4.4%
Return on Assets (After Tax)	0.6%	0.7%
Return on Equity	3.9%	4.6%
Regulatory Liquidity		
Statutory Liquid Assets		
- Domestic Banking Unit, Rs. (LKR in Millions)	19,818	14,348
- Foreign Currency Banking Unit, USD '000	1,310	2,885
Statutory Liquid Assets Ratio % (Minimum Requirement - 20%)		
- Domestic Banking Unit	27.7%	23.0%
- Off-Shore Banking Unit	38.0%	35.1%
Total Stock of High Quality Liquid Assets (LKR in Millions)	3,304	2,690
Liquidity Coverage Ratio (%) (Minimum Requirement - 100%)		
- Rupee (%)	142.9%	141.8%
- All Currency (%)	110.0%	117.5%
Net Stable Funding Ratio (%) (Minimum Requirement - 100%)	183.8%	N/A

07. SEGMENT INFORMATION

The following table presents information on total income, profit, total assets and liabilities regarding the Bank's operating segments.

FOR THE YEAR ENDED 31 DECEMBER 2019	CONSUMER BANKING	BUSINESS BANKING	TOTAL BANKING	TREASURY	RUPEES IN THOUSANDS	
					UNALLOCATED / ELIMINATION	TOTAL
Income						
Financing Income	2,245,667	4,844,792	7,090,459	579,511	39,317	7,709,286
Net Fee and Commission Income	169,497	150,607	320,104	6,689	2,248	329,041
Net Trading Gain	-	-	-	738,397	-	738,397
Net Gains / (Losses) from Financial Investments at Fair Value Through Profit or Loss	-	-	-	16,416	-	16,416
Net Gains / (Losses) from Derecognition of Financial Assets	-	-	-	(402)	-	(402)
Other Operating Income	-	-	-	7,431	820	8,251
Total Income	2,415,164	4,995,399	7,410,563	1,348,042	42,385	8,800,990
Less						
Financing Expenses			(4,512,867)	(31,504)	-	(4,544,371)
Impairment On Financial Assets			(288,929)	-	-	(288,929)
Operating Expenses			(1,814,613)	(746,541)	(29,862)	(2,591,016)
Operating Profit Before VAT on FS, NBT & DRL			794,156	569,996	12,523	1,376,674
VAT on FS, NBT & DRL						(531,826)
Profit Before Tax						844,848
Tax Expenses						(383,917)
Profit After Tax						460,931
Total Assets	16,601,515	41,115,446	57,716,961	21,149,262	7,713,347	86,579,570
Total Liabilities	63,056,531	8,558,222	71,614,753	1,103,041	2,008,209	74,726,003

FOR THE YEAR ENDED 31 DECEMBER 2018	CONSUMER BANKING	BUSINESS BANKING	TOTAL BANKING	TREASURY	RUPEES IN THOUSANDS	
					UNALLOCATED / ELIMINATION	TOTAL
Income						
Financing Income	1,804,401	4,329,233	6,133,633	706,624	42,965	6,883,222
Net Fee and Commission Income	136,774	131,216	267,990	27,600	1,459	297,049
Net Trading Gain	-	-	-	461,156	-	461,156
Net Gains / (Losses) from Financial Investments at Fair Value Through Profit or Loss	-	-	-	(22,436)	-	(22,436)
Net Gains / (Losses) from Derecognition of Financial Assets	-	-	-	1,892	-	1,892
Other Operating Income	-	-	-	6,655	7	6,662
Total Income	1,941,175	4,460,449	6,401,624	1,181,491	44,431	7,627,546
Less						
Financing Expenses			(3,501,947)	(20,942)	-	(3,522,889)
Impairment On Financial Assets			(476,766)	-	-	(476,766)
Operating Expenses			(1,511,903)	(787,912)	(5,837)	(2,305,652)
Operating Profit Before VAT on FS, NBT & DRL			911,008	372,637	38,594	1,322,238
VAT on FS, NBT & DRL						(420,038)
Profit Before Tax						902,200
Tax Expenses						(345,753)
Profit After Tax						556,447
Total Assets	14,594,254	38,259,409	52,853,663	16,946,546	7,469,558	77,269,767
Total Liabilities	58,002,975	3,719,708	61,722,683	1,212,750	2,700,231	65,635,664

EXPLANATORY NOTES

- These Interim Financial Statements have been prepared in accordance with LKAS 34 - Interim Financial Reporting and present information required by Listing Rules of Colombo Stock Exchange.
- The interim condensed Financial Statements do not include all the information and disclosure required in the annual Financial Statements, and should be read in conjunction with annual Financial Statements as at 31 December 2019.
- The accounting policies adopted in the presentation of the interim condensed Financial Statements are consistent with those followed in the preparation of the Bank's annual Financial Statements for the year ended 31 December 2019.
- There are no material events that took place after the Statement of Financial Position date which require adjustment to or disclosures in the Financial Statements.
- The Bank adopted Sri Lanka Accounting Standard - SLFRS 16 (Leases) with effect from 1 January 2019. The Bank applied modified retrospective method and therefore comparative figures are not restated.
- Other comparative figures have been restated wherever necessary to conform to the current periods presentation.
- There has not been a significant change in the nature of the contingent liabilities as disclosed in the Annual Report of 2019.
- As instructed by the Ministry of Finance, the Department of Inland Revenue has informed that Income Tax rate of 28% will reduce to 24% with effect from 1 January 2020. Since legislation in this regard is still to be enacted, no changes have been made to the Deferred Tax Liability as at 31 December 2019, which was computed at 28%
- On 23 September 2019, the Bank declared an interim dividend of Rs 0.08 per share for the Financial Year ending 31 December 2019, with the dividend payment date being 11 October 2019.

10. Market Price of Ordinary Shares (the Bank listed its ordinary shares on the Colombo Stock Exchange on 29 January 2014)

	2019 Rs.	2018 Rs.
Market Price as at 31 December	2.30	3.10
Highest Market Price during the quarter ended 31 December	2.70	3.20
Lowest Market Price during the quarter ended 31 December	2.30	3.00

11. Twenty Largest Shareholders as at 31 December 2019

No	Name of Shareholder	No. of Shares	%
1	IB Growth Fund (Labuan) LLP (Part of Islamic Development Bank Group)	591,578,861	23.65
2	Mr. Hossain Ahmed Ismail	249,888,800	9.99
3	Mr. Mohamed Haji Omar	206,691,690	8.26
4	Bank Islam Malaysia Berhad	180,562,011	7.22
5	AB Bank Limited	180,562,010	7.22
6	Islamic Development Bank	158,061,757	6.32
7	Akbar Brothers (Pvt) Ltd.	157,744,249	6.31
8	Mr. Farook Kassim	94,220,411	3.77
9	Millenium Capital Investment Pte. Limited	70,140,503	2.80
10	Mr. Osman Kassim jointly with Mrs K. Kassim	67,474,160	2.70
11	Mr. Shafik Kassim	62,263,418	2.49
12	Mr. Sattar Kassim	60,221,203	2.41
13	Mr. Nagi Saleh Mohammed Al Faqih	37,384,600	1.49
14	Mr. Sathiyamurthy Chandramohan	30,000,000	1.20
15	Almas Organisation (Pvt) Ltd.	27,426,100	1.10
16	Mr. Abdul Majeed Mohamedu Risvi	26,270,421	1.05
17	Mr Riyaz Mohamed Sangani	15,450,000	0.62
18	Mr. Ahamed Mihilar Mohamed Fazal Jiffry	14,284,200	0.57
19	ABC International Limited	11,920,000	0.47
20	Amana Takaful Life Limited	10,937,500	0.43
Sub total		2,253,081,894	90.07
Other Shareholders (Number of Shareholders 7,009)		248,308,640	9.93
Total		2,501,390,534	100.00

Percentage of Public Holding as at 31 December 2019

42.88%

Number of Shareholders

6,997

Float adjusted market capitalisation

2.47Bn

Bank complies with the minimum public holding requirement under option 5 as specified by rule 7.13.1 (a) of the Listing Rules of Colombo Stock Exchange

12. Directors' holding in shares as at 31 December 2019

Name of Director	No. of Shares
Mr. Osman Kassim	67,474,160
Mr. Tyeab Akbarally	52
Mr. Mohamed Jazri Magdon Ismail	127,000
Mr. Harsha Amarasekera PC	-
Mr. Rajiv Nandlal Dvivedi	-
Mr. Pradeep Dilshan Rajeeva Hettiaratchi	-
Mr. Aaron Russell Davison	-
Mr. Mohammed Ataur Rahman Chowdhury	-
Mr. Syed Muhammed Azim Raza	-
Mr. Khairul Muzamel Perera Bin Abdullah	-
Dr. Mostafa Hassan Mohamed Hassan Al Sabban	-
Mr. Huzefa Inayetally Akbarally (Alternate Director to Mr. Tyeab Akbarally)	1
Mr. Mohamed Faizel Mohamed Haddad (Alternate Director to Mr. Osman Kassim)	40,000
Mr. Mohamed Azmeer (Chief Executive Officer)	500,000